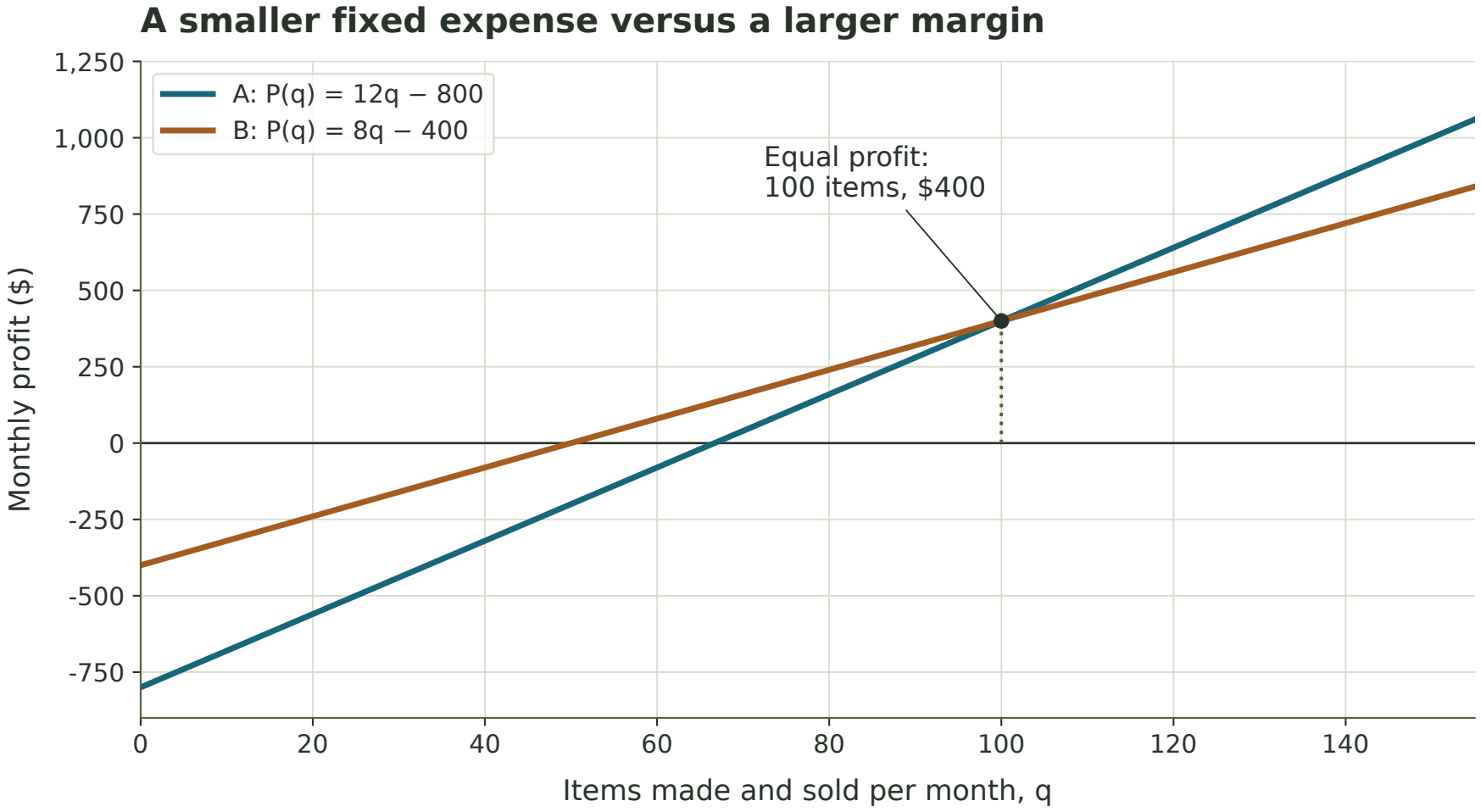
A smaller fixed expense versus a larger margin
A: P(q) = 12q − 800
B: P(q) = 8q − 400
Equal profit:
100 items, $400
Monthly profit ($)
1,250
1,000
750
500
250
0
-250
-500
-750
0
20
40
60
80
100
120
140
Items made and sold per month, q